

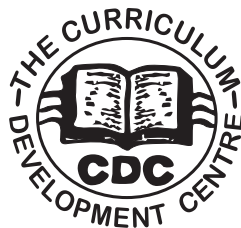


Republic of Zambia
Ministry of Education

COMMERCE

TEACHING MODULE

FORM 1 TERM 2



Developed by the Curriculum Development Centre
Lusaka
2025

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Table of Contents

Authors.....	iv
Coordinators.....	iv
Typesetter/Graphic Designer	iv
Preface.....	v
Acknowledgement.....	vi
Module Icons	vii
Introduction.....	viii
TOPIC TITLE: HOME TRADE.....	1
Sub Topic 1: Retail Trade	1
Sub Topic 2: Wholesale Trade	11
Sub Topic 3: Documents used in Home Trade	17
BIBLIOGRAPHY	35
SAMPLE LESSON PLAN	36
SAMPLE LESSON PLAN TEMPLATE	39

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The **Curriculum Development Centre** would like to extend its sincere appreciation to the following coordinators for their exceptional leadership, tireless dedication, and outstanding contribution to our efforts.

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Preface

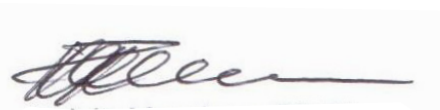
The **Commerce Teaching Module** for **Form 1** has been developed in response to the introduction of the **Competence-Based Curriculum (CBC)**, a transformative initiative aimed at enhancing education quality and relevance.

This teaching module is designed to support teachers in effectively delivering Commerce lessons under the new curriculum. Its primary objectives are to; bridge the gap created by the absence of approved textbooks and equip teachers with practical skills and assessments tailored to learners' needs and levels.

As the Ministry of Education, we acknowledge the challenges associated with transitioning to a new curriculum. Consequently, this module reflects our commitment to providing teachers with structured guidance, suggested activities, and formative and summative assessments aligned with the CBC's objectives.

While this module serves as a foundational resource, we encourage teachers to supplement it with their own research and innovations to address potential gaps during implementation. The suggested activities and assessments are designed to foster practical and critical thinking skills in learners, ensuring relevance and adaptability across diverse school contexts.

Teachers are encouraged to tailor these suggestions to their unique classroom dynamics and explore alternative approaches when necessary. We hope this module will empower teachers to navigate the new Competence-Based Curriculum with confidence, inspiring and equipping learners with essential competences, knowledge, skills, and attitudes.



Kelvin Mambwe (PhD)
Permanent Secretary- Educational Services
MINISTRY OF EDUCATION

Acknowledgement

The **Commerce Teaching Module** for **Form 1** has been developed through a consultative and participatory process. Teachers and lecturers from Colleges of Education were accorded an opportunity to be part of the development of this teaching module. Other stakeholders such as civil society organisations and cooperating partners also participated in one way or the other. We would, therefore, like to express our profound gratitude to all for the financial and technical input to the successful development of this teaching module.

Finally, we appreciate the commitment and hard work of the staff at the Curriculum Development Centre in ensuring the successful completion of the Commerce Teaching Module.



Charles Ndakala, (Dr.)
Director – Curriculum Development
MINISTRY OF EDUCATION

MODULE ICONS

			
Activity	Assessment	Assignment	Case study
			
Discussion	Group activity	Outcomes	Note it!
			
Summary	Terminology	Reading	Tip

INTRODUCTION

The **Commerce Teaching Module for Form 1 Term 2** comprise of topics from the 2024 Syllabus and is tailored to support teachers to implement the Competence Based Curriculum (CBC). It focuses on the attainment of specific competences of specific subtopics as stipulated in the syllabus and aligned to the general competence. Each specific competence, is supported by learning activities which help learners to meet the expected standards. In addition, the module encourages teachers to assess learners' progress using a range of strategies. The content and activities have been sequenced to introduce the learners to the subject and to set a firm groundwork for learners to acquire the competences that set the foundation for the subject and at the same time provide direction to the Business and Finance career path.

The suggested learning activities are designed in such a way as to promote cognitive and practical skills of the learners. Teachers should therefore ensure that learners are actively engaged in the learning activities as stipulated in the module for mastery of the competences.

NOTE

- ☐ The teaching module has proposed different learner centred methodologies. However, the teacher is free to explore many other methodologies to suit local environment as well as resources available.
- ☐ Learning activities should not be regarded as lessons, they can be taught even in more than one lesson
- ☐ For effective learning, it is important to state the learning environment in which learning will take place such as:
 - Natural Environment – which can be out doors such as field trips
 - Artificial Environment - which can be indoors or in the classroom such as guest speakers
 - Technological Environment – use of virtual platforms or videos
 - The learning Environment should be selected in relation to the teaching methodology.
- ☐ The content tips are meant to consolidate and summarise facts and principles being covered in learning activities

Assessment

- ☐ Assess learners during lessons through observation and after the topic through class exercises, home works and assignments.
- ☐ Teachers are free to prepare questions that can assess learners' knowledge, values and practical skills in real life experiences

TOPIC: HOME TRADE

1. Introduction

This topic exposes learners to the real world of conducting business within the country (home trade). Home trade is trade done within a country and is divided into retail and wholesale. Retail trade is the selling of goods in small quantities while wholesale trade is the selling of goods in bulk (large quantities). The person who sells goods in smaller quantities is called a retailer and the one who sells goods in bulk is called a wholesaler.

This topic has three sub-topics, that is retail trade, wholesale trade and documents used in home trade with twelve learning activities. The teacher is expected to walk through the learners into Task that will fully make them start practicing retail, wholesale trade and prepare documents used in home trade successfully.

1.1 General Competence(s):

- ☐ Creativity and innovation
- ☐ Entrepreneurship
- ☐ Financial literacy
- ☐ Critical thinking
- ☐ Problem solving
- ☐ Collaboration
- ☐ Communication

SUB TOPIC 1: RETAIL TRADE

Introduction

This sub-topic covers what Retail trade is, its functions, factors considered before putting up a retail outlet, opportunities and challenges of running a retail business and how learners can practice running a retail business.

The word ‘retail’ simply means to “cut again”. Trade is the buying and selling of goods and service with a view of making profit. Retail trade is therefore, the buying and selling of goods in small quantities to suit the consumer’s needs. A person who sells the goods in small quantities is known as a retailer. A retailer is a middleman between the wholesaler or producer and the consumer in the chain of distribution of goods and services.

The learners must appreciate the importance of retail trade in our country because it is one of the vital sectors of the economy. It is the largest private sector employing a lot of people who support different families in our communities and the convenience provided to customers to fulfill their daily needs is very important.

Specific Competence: Practice running a Retail Business



Key Terms

- ☐ **Middleman:** link between two parties

- ☐ **Home trade:** Buying and selling of goods and services within a country's geographical boundaries
- ☐ **Retail trade:** Business activity associated with the sale of goods to the final consumer
- ☐ **Consumer:** A person who buys goods or services for their own use
- ☐ **Manufacturer:** A person or company that makes goods for sale
- ☐ **Wholesaler:** A person or company that sells goods in large quantities
- ☐ **Retailer:** A person or business that sells goods to the public in relatively small quantities for use or consumption
- ☐ **Business:** The activity of producing, buying, selling, or exchange of goods and services to generate revenue or create value.
- ☐ **Profit:** The amount of money by which revenue from sales exceeds costs in a business
- ☐ **Omni channel:** Denoting or relating to commerce that integrates the different methods of interaction available to customers (e.g. online, via a mobile device, in a physical shop, etc.)
- ☐ **Breaking bulk:** The practice of buying large quantities of goods from a manufacturer and then dividing them into smaller lots to sell to retailers or consumers

Learning Activities:

- ☐ Describing Retail Trade
- ☐ Demonstrating functions of a retailer
- ☐ Research on the factors to consider before putting up a retail business
- ☐ Investigating opportunities and challenges of running a retail business
- ☐ Practising to run a retail business



Learning Activity 1

Describing Retail trade

Methodology:



Group Discussion

Task:

1. Put learners in appropriate groups to enable everyone participate
2. Ask learners to discuss the various items they buy from local community shops (tuckshop, tuntemba, butchery, supermarket) and in what quantities.
3. Let each group present its discussions

4. Consolidate by summarizing and relate the discussion to the content tips

Or

5. Choose a suitable learner centred methodology (for example role play, field trip)
 - ☐ Select the learning environment in relation to the teaching methodology – (Natural environment (outside), Artificial environment (classroom), Virtual environment (technological))



Content Tips

- ☐ Home trade simply means the trade that happens within the country
- ☐ Trade is the process of buying and selling of goods and services with the aim of making a profit
- ☐ Retail trade is the selling of goods in small quantities to the consumers
- ☐ A retailer sells goods in smaller quantities
- ☐ Retail is the final step in the distribution of goods where retailers sale goods directly to their consumers in smaller quantities
- ☐ Retail trade can take various forms, such as physical stores, online platforms, vending machines, or even door-to-door selling.
- ☐ Retailers play a crucial role in breaking bulk quantities into smaller units, making products accessible and convenient for consumers.



Learning Activity 2

Demonstrating functions of a Retailer

Methodology: Role play

Task:

1. Split the class into groups to role play the functions of a retailer. (use the content tips to assign roles to the learners)
2. Ask each learner to participate fully in their groups by bringing out or stating the functions of a retailer as they observe in the role play.
3. Ask Learners to state what key points they observed after each role play.
4. Consolidate by summarising and relate the role plays to the content tips

Or

- ☐ Choose a suitable learner centred methodology (for example , field trip)
- ☐ Select the learning environment in relation to the teaching methodology – (Natural environment (outside), Artificial environment (classroom), Virtual environment (technological))

Note for the next lesson

1. Divide the learners into small groups
2. Assign each group to research on factors to consider before putting up a retail business (Location, capital, trading hours)
3. Instruct the learners to conduct research using (online, text books, websites...) and encourage them to take notes and organize their findings.

**Content Tips****Demonstrating Functions of a Retailer**

- ☐ buying goods from the wholesaler or manufacturer
- ☐ selling to customers according to their needs
- ☐ breaking bulk; the retailer buys the goods in large quantities from the wholesaler or the manufacturer and then breaks them into smaller quantities to suit the consumer's needs
- ☐ offering variety of goods to meet the consumer's needs
- ☐ displaying goods in retail shops
- ☐ pricing goods before selling them to consumers
- ☐ Preparing the goods for sale such as packaging them
- ☐ giving after sale service and pre-sale service
- ☐ offering credit to trusted customers
- ☐ giving advice or personal service to consumers especially on new goods
- ☐ offers delivery service on some goods within a targeted marketing area
- ☐ advertises, promotes, gives special offers for his/her business to the public
- ☐ providing goods in suitable quantity
- ☐ supplying local needs to the consumers
- ☐ acting as a link or middleman in the chain of distribution between the consumers and the wholesaler
- ☐ to pass on information to wholesalers on consumers' complaints, suggestions or praises on the products
- ☐ opens his/her shop early and closes late to suit the consumers
- ☐ Warehousing/storage of goods awaiting sales

In summary learners to demonstrate the functions of a retailer by buying in bulk from the wholesaler and breaks them in small quantities, storage of goods awaiting sales, displaying goods on the shelves attractively, providing customer service, pricing and sales promotion.

**Learning Activity 3**

Research on the factors to consider before putting up a retail business

Methodology:**Research, Class discussion****Task:**

1. From the previous assignment given to the learners, in ten (10) minutes allow them to discuss their individual findings in their various groups.
2. Ask each group to present their findings
3. Consolidate by summarising and relating each group's presentation to the content tips

Or

- ☐ Choose a suitable learner centred methodology (for example role play, case study, field trip)
- ☐ Select the learning environment in relation to the teaching methodology – (Natural environment (outside), Artificial environment (classroom), Virtual environment (technological))

**Content Tips****Factors to consider before putting up a retail Business**

- ☐ Do a market research – there is need to make sure that there is demand for the products to be selling.
- ☐ Weigh your possibilities – having a dream to open up a retail business is very good, however, before starting one needs to consider all his/her options.
- ☐ Make a business plan – when one is sure there is demand for the products, the next step is to make a plan for opening the retail business outlining goals, strategies, and projections to guide your decisions and attract investors if needed.
- ☐ Competition - analyse existing businesses in your area or niche to identify gaps and opportunities
- ☐ Financing (Capital) – when you have a final plan you need to raise funds for your project. You can solicit investors or obtain a loan from a financial institution, borrow money from family members or friends, do self-financing or crowd funding and you may also be eligible for government subsidies, etc.
- ☐ Best location – time to find the perfect location! The location must be strategic.
- ☐ Adhering to local laws – this is usually forgotten by many retailers, but you have to make sure that you respect all the legal requirements that come with the opening of a retail business.
- ☐ Adopt technologies – determine what your technological infrastructure will be, for example, point of sale system, and also payment through mobile money.
- ☐ Layout and facilities of the retail business– when you take possession of your brand new space, you need to furnish it and set up great displays, posters and other essentials to serve customers every day.
- ☐ Source of suppliers – make sure you establish a reliable supply chain for your new retail business.
- ☐ Gather employees – you must hire competent employees.

- ☐ Security concerns – you must implement security measures to protect both customers and your goods. Also make sure to take insurance to protect your store against theft, fires and other threats to your store.
- ☐ Create marketing strategies – develop a marketing strategy to succeed.
- ☐ Customer experience - focus on creating a welcoming environment and providing excellent service to build a loyal customer base.
- ☐ Trading hours – consider what works best for your business and to satisfy many customers you need to open early and close late
- ☐ Banking – ensure that banking facilities are easily accessible from your retail business

Note for the next lesson

1. Identify and invite someone doing retailing in the community to speak about opportunities and challenges of running a retail business
2. Make sure that you brief him/her about the objective of the session and orient him in such a way that all the opportunities and challenges of running a retail business are dealt with during his presentation.

**Learning Activity 4****Investigating opportunities and challenges of running a retail business****Methodology:****Experimental Learning****Task**

1. Introduce the invited speaker to the class and indicate what the speaker will talk about.
2. Let the invited speaker present or give a talk to the class on the opportunities and challenges of running a retail business
3. Invite questions from the learners to the speaker.
4. After the departure of the guest speaker, give time to the learners to bring out the opportunities and challenges of running a retail business from the presentation
5. Use the answers from the learners to develop the opportunities and challenges of running a retail business as per content tips.
6. Put up the chart with opportunities and challenges of running a retail business that you prepared in advance, or write them on the board

Or

- ☐ Choose a suitable learner centred methodology (for example Class discussion, role play, case study)
- ☐ Select the learning environment in relation to the teaching methodology – (Natural environment (outside), Artificial environment (classroom), Virtual environment (technological))



Content Tips

Opportunities and challenges of running a retail business

Opportunities of Running a Retail Trade

- ☐ **Meeting Consumer Needs:** Retail allows you to directly address customer demands by providing products they need or desire, fostering a sense of connection and satisfaction.
- ☐ **Flexibility in Niches:** You can choose to specialize in specific markets (like eco-friendly products or fashion) or offer a wide range of goods, depending on what excites you and suits your target audience.
- ☐ **Building Customer Loyalty:** Retail businesses give you the chance to create meaningful customer relationships through excellent service, loyalty programs, or personalized offerings.
- ☐ **Innovation and Trendsetting:** You can introduce new products, ideas, or shopping experiences, staying ahead of trends and setting them for your market.
- ☐ **Financial Growth:** A well-run retail business can generate consistent revenue, with potential to grow into multiple locations or expand online.
- ☐ **Job Creation:** Retail businesses often contribute to the community by providing employment opportunities.
- ☐ **E-commerce Integration:** You can embrace technology by combining a physical store with an online presence, accessing a global audience while maintaining a local connection.
- ☐ It requires minimal costs/ less capital to establish
- ☐ It is constantly evolving with new technologies and innovations emerging all times
- ☐ Offers opportunities to tap into global market
- ☐ Offers opportunities for diversification hence reduces dependence on a single market or product category
- ☐ Offers opportunities for supply chain optimisation
- ☐ It reduces costs, improves efficiency and customer satisfaction.
- ☐ Makes speedy and independent decision which may drive business growth and improved efficiency

Challenges of Running a Retail Trade

- ☐ **Managing inventory:** Striking the right balance between having enough stock to meet customer demand and avoiding overstock can be tricky. Inventory management also requires monitoring seasonal trends and forecasting accurately
- ☐ **Competition:** The retail sector is highly competitive, with businesses constantly vying for customers' attention. Standing out among competitors often requires innovative marketing strategies, excellent customer service, and unique offerings
- ☐ **Fluctuating demand:** Retail businesses can face unpredictable changes in customer demand due to trends, economic conditions, or shifts in buying behavior. Adapting to these changes quickly is vital
- ☐ **Rising costs:** Costs related to rent, utilities, logistics, and wages can quickly add up, squeezing profit margins. Price increases from suppliers can also create

challenges for maintaining affordability

- ☐ **Customer expectations:** With the rise of e-commerce and fast delivery options, customers expect seamless shopping experiences, personalized service, and fast shipping. Meeting these expectations requires constant innovation
- ☐ **Economic factors:** Economic downturns, inflation, or changes in government regulations can impact consumer spending and create additional hurdles for retail businesses
- ☐ **Technology integration:** Adopting new technology, such as point-of-sale systems, e-commerce platforms, or customer relationship management tools, is often necessary but can be daunting and costly
- ☐ **Staffing issues:** Recruiting, training, and retaining reliable staff can be a challenge, especially in industries with high turnover rates
- ☐ **Security concerns:** Retail businesses are vulnerable to theft, fraud, or cyberattacks, making security an ongoing concern both in physical stores and online



Learning Activity 5

Practising running a retail trade

Methodology: (Experiential learning, role-play)

Task:

1. Engage administration so that they are aware of this learning activity
2. Organise capital/money or any other resources to buy assorted goods for resale
3. Buy different types of goods such as sweets, giggies, biscuits, u-fresh, soft drinks ... from the local wholesale or get them from the school tuckshop.
4. Give the goods to different learners to sell to their friends in class or outside the class at break time
5. Let the learners price the goods or negotiate the pricing with the buyers at a profit (practice marketing skills, customers relations, handling customer complaints ...)
6. Consolidate on the activities of selling and emphasize to the learners that this activity is ongoing. (teacher is expected to be creative and resourceful)

Or

- ☐ Choose a suitable learner centred methodology (case study)
- ☐ Select the learning environment in relation to the teaching methodology – (Natural environment (outside), Artificial environment (classroom), Virtual environment (technological))



Content Tips

- ☐ Learners to participate in the buying and selling of the stock, stock taking, sales and providing customer service in the school tuckshop or any other selling place.
- ☐ Create a mock store or simulated retail trading in the classroom where learners

can practise buying and selling of goods, negotiating prices.

- ☐ Learners to practice retail skills such as pricing, stock management and customer service in a controlled environment
- ☐ Encourage learners to develop their own entrepreneurial projects such as selling hand made products, scones, flitters, sweets, biscuits. Giggies ...
- ☐ Learners to practice retail skills such as marketing, pricing and sales whilst running their own small businesses
- ☐ Conduct role-playing exercises in the classroom where learners can practice different retail scenarios such as negotiating with consumers, managing personal relationships with buyers/consumers, customer service interaction, sales pitches, handling customers complaints and stock management
- ☐ Arrange intern or job shadow with successful local retailers
- ☐ Organise for a school market day where students can set up their own small shops to sell their own goods in the real environment
- ☐ Assign case studies or projects that require learners to analyse and develop retail trading strategies for a real or hypothetical business where learners can practice critical thinking, problem solving and decision making skills in a retail trade context
- ☐ Utilise online games that mimic retail trading environments such as virtual trading platforms, retail market simulations and supply chain management games

Expected Standard- Running a retail business practised successfully



Assessments

Class exercise

1. Taonga supermarket is a new retail business located in Kabwe, Zambia. The owner, Mr Kakoma realised that there was no modern supermarket in that area. He further conducted market research and identified a need for a modern supermarket that offers a wide range of products at competitive prices.
Mr kakoma secured funding from a local bank. He developed a comprehensive business plan, which included strategies for inventory management, staffing and marketing. The supermarket was designed to provide an excellent shopping experience.
 - i. What factors did Mr Kakoma consider first before starting his retail business in the above passage?
 - ii. What other factors could Mr Kakoma considered apart from the ones identified in question 1 above?
 - iii. What might be some potential challenges that he could face in operating his supermarket?
 - iv. How does technology allow the supermarket to operate efficiently and effective?
2. What role do retailers play in the distribution chain?

Home work

Design a layout for a retail shop window display to highlight a new product line. Explain how your design would attract customers and increase sales.

Assignment

1. Conduct a study to gather customer feedback on a retail shop's services. Based on the results provided, suggest ways of improving customer satisfaction.

2. Case study:

Beauty Buzz Fashion is a retail clothing store located in a busy shopping area. The store offers a wide range of clothing and accessories for men, women, and children, catering to diverse tastes and preferences. Beauty Buzz Fashion's target market is fashion-conscious consumers who seek stylish and affordable clothing.

The buying team sources products from various suppliers and manufacturers, ensuring an assorted range of styles, sizes, and prices. The team attends fashion shows, reads industry publications, and follows social media influencers to stay informed about the latest trends. They negotiate prices, quantities, and delivery terms with suppliers to ensure competitive pricing and timely delivery.

In addition, the stores are designed to provide an attractive and welcoming shopping environment. Sales staff are trained to assist customers, respond to queries, and process transactions efficiently. The store's layout is designed to showcase products in an appealing way, and signs are used to highlight promotions and sales.

Furthermore, it uses various marketing channels to promote its products and attract customers. The store has a strong social media presence, with regular posts on social media such as Instagram, Facebook, and Twitter. The store also sends out email newsletters to subscribers, showcasing new arrivals, promotions, and sales. In-store promotions, such as discounts and giveaways, are used to drive sales and engage customers.

Finally, it prioritises customer satisfaction, offering services as such repairing products for customers, pre-sale services, returns, exchanges, and refunds. The store's sales staff are trained to provide personalised styling advice and assistance, helping customers to find products that meet their needs. The store also offers a loyalty program, rewarding repeat customers with exclusive discounts and offers.

Required:

Describe eight (8) services Beauty Buzz offers to customers

**Summary**

The main points of the topic to remember are;

- ☐ Discussed retail trade and who a retailer is
- ☐ Appreciated and executed the functions performed by a retailer
- ☐ Application of the factors to consider before starting a retail business
- ☐ Researched on the opportunities and challenges of running a retail business
- ☐ Task to start with when practicing how to run a retail business
- ☐ Practiced how to run a retail business successfully
- ☐ Management of a retail business

SUB TOPIC 2: WHOLESALE TRADE

Introduction

This sub-topic covers the brief summary of what wholesale trade is, its functions, its opportunities and challenges and how learners can practice running a wholesale business.

The word ‘whole’ simply means bulk and to sale is simply to transact. Trade is the buying and selling of goods and service with a view of making profit. Wholesale trade can therefore be defined as the buying and selling of the goods in bulk (large quantities). A person who sells the goods in large quantities is known as a wholesaler. A wholesaler is a connecting link between the manufacturer and the retailer. Wholesalers play a crucial role in the supply chain, bridging the gap between manufacturers and retailers

Specific Competence: Practice running a Wholesale business



Key Terms

- ☐ **Wholesaler:** an organization or individual that buys products in bulk and sells them to retailers or other businesses
- ☐ **Distributor:** an organization or individual that provides products or services to wholesalers, retailers or other businesses
- ☐ **Manufacturer:** an organization or individual that produces products for sale to wholesalers, retailers or other businesses
- ☐ **Inventory:** the stock of products held by a wholesaler or other business

Learning Activities:

- ☐ Describing wholesale trade
- ☐ Demonstrating functions of a wholesaler
- ☐ Investigating opportunities and challenges of running a wholesale business
- ☐ Practising running a wholesale business



Learning Activity 1

Describing wholesale trade

Methodology:



Group Discussion

Task:

1. Put learners in appropriate groups to enable everyone participate
2. learners to discuss where the various items retailers (tuntemba, butchery,

supermarket) sell come from and in what quantities.

3. Let each group present its discussions
4. Consolidate by summarizing and relate the discussion to the content tips

or

- ☐ Choose a suitable learner centred methodology (for example Class discussion, role-play, case study)
- ☐ Select the learning environment in relation to the teaching methodology – (Natural environment (outside), Artificial environment (classroom), Virtual environment (technological))



Content Tips

- ☐ Wholesale trade is a form of trade in which goods are purchased in large quantities (bulk) from the producer, stored and then sold to retailers in relatively smaller quantities.
- ☐ Buys goods in bulk from the manufacturer hence clearing the manufacturers' production line
- ☐ Warehouses the goods awaiting demand to ensure steady flow of goods, hence preventing price fluctuation (evens out prices) and allowing the manufacturer to produce the goods ahead of demand
- ☐ Breaks bulk and sells goods in smaller quantities to retailer
- ☐ Finances the retailer by providing credit to them and manufacturer by paying promptly
- ☐ Acts as an intermediary between manufacturer and retailer by passing information/ complaints to manufacturers
- ☐ Provides a wide range of goods for the retailer and consumer which is gleaned from different producers
- ☐ Prepares goods for sale by branding and blending them.
- ☐ Provides transport (delivery) for goods from manufacturer and to the retailers premises
- ☐ Operates cash and carry warehouse.
- ☐ is a risk bearer, that is by storing the goods on behalf of the producer or retailer, the goods may go out of fashion or they may be gutted by fire or stolen whilst in the warehouse.
- ☐ The types of wholesale trade are: cash and carry wholesaler, general wholesaler, specialist wholesaler and merchant wholesalers.



Learning Activity 2

Demonstrating functions of a wholesaler

Methodology: Role play

Task:

1. Split the class into groups to role play the functions of a wholesaler. (use the content tips to assign roles to the learners)

2. Ask each learner to participate fully in their groups by bringing out or stating the functions of a wholesaler as they observe in the role play.
3. Ask Learners to state what key points they observed after each role play.
4. Consolidate by summarizing and relate the role plays to the content tips

Or

- ☐ Choose a suitable learner centred methodology (for example , field trip)
- ☐ Select the learning environment in relation to the teaching methodology – (Natural environment (outside), Artificial environment (classroom), Virtual environment (technological))



Content Tips

Demonstrating Functions of a wholesaler

- ☐ Sourcing products from manufacturers/suppliers at discounted prices
- ☐ Storage of products in the warehouse to ensure that the products are in good condition and accessible by the retailers
- ☐ Pricing goods at competitive prices and ensure that the wholesaler makes profit
- ☐ Finds buyers/retailers of the products and setting up distribution points. This is done by distributors
- ☐ Sells goods to retailers at competitive prices and delivers them to their premises



Learning Activity 3

Investigating opportunities and challenges of running a wholesale business.

Methodology: Experiential Learning

Task

1. Introduce the invited speaker to the class and indicate what the speaker will talk about.
2. Let the invited speaker present or give a talk to the class on the opportunities and challenges of running wholesale business
3. Invite questions from the learners to the speaker.
4. After the departure of the guest speaker, give time to the learners to bring out the opportunities and challenges of running a wholesale business from the presentation
5. Use the answers from the learners to develop the opportunities and challenges of running a wholesale business as per content tips.
6. Put up the chart with opportunities and challenges of running a retail business that you prepared in advance, or write them on the board

Or

- ☐ Choose a suitable learner centred methodology (for example Class discussion, role play, case study)
- ☐ Select the learning environment in relation to the teaching methodology – (Natural environment (outside), Artificial environment (classroom), Virtual environment (technological))



Content Tips

Opportunities and Challenges of a wholesaler

Opportunities

- ☐ High profit margins as they buy goods in bulk at discounted rates from producers at factory prices
- ☐ They sell to retailers at a mark up
- ☐ Purchasing in bulk from the manufacturer reduces cost per unit which in return lowers cost and increased sales
- ☐ Supplying products to various retailers, distributors reduces dependence on a single customer or market.
- ☐ Expanding product offering and customer base results in business growth and allows new market penetration
- ☐ Adjusting product mix and pricing strategies in response to the market changes
- ☐ Offers customised solution and services to the customers
- ☐ It builds mutual relationship with manufacturers.
- ☐ It creates a reputation for quality products and reliable service, hence developing a strong brand identity and customer loyalty
- ☐ Offers services such as labelling and packaging
- ☐ They warehouse goods bought in bulk from producers to keep prices stable
- ☐ They keep a steady supply of a variety of goods to retailers
- ☐ They bear risks of fashion change, fire, theft, whilst goods are in warehouses
- ☐ They offer credit facilities to retailers

Challenges

- ☐ There is no personal contact with customers, and thus some customers may be lost to other wholesalers offering personal services
- ☐ Goodwill of the business may be adversely affected by lack of contact with customers
- ☐ Delivery services are not offered to retailers
- ☐ They face intense competition from other wholesalers and online markets
- ☐ Sourcing high quality products from reliable suppliers
- ☐ Managing inventory levels, shipping and other logistics
- ☐ Dealing with supply chain disruptions, delays or shortages
- ☐ Setting competitive prices whilst maintaining a reasonable profit margin
- ☐ Managing price fluctuations, discounts and promotions

- ☐ Managing optimal inventory levels to meet demand
- ☐ Managing inventory turnover, storage and handling costs
- ☐ Dealing with stock unfashionableness, damage and theft
- ☐ Building and maintaining strong customer relationship
- ☐ Providing excellent customer service
- ☐ Handling customer complaints
- ☐ Staying uptodate with market trends, demand fluctuations and seasonal changes
- ☐ Adapting to changes in the consumer behaviour, preferences and spending habits
- ☐ Ensuring compliance with laws, regulations and standards
- ☐ Managing product safety, labeling and packaging requirements
- ☐ Implementing and intergrating technology solutions
- ☐ Managing data, cybersecurity and digital marketing



Learning Activity 4

Practising running a wholesale business

Methodology: (Experiential learning, role-play)

Task:

1. Engage administration so that they are aware of this learning activity
2. Organise capital/money or any other resources to buy assorted goods for resale
3. Buy different types of goods such as cases of sweets, cases of giggies, boxes of biscuits, case of u-fresh, case of soft drinks ... from the supplier or local producers.
4. Give the cases of goods to different learners to sell to the tuck shop or outside at break time in large quantities
5. Let the learners price the goods or negotiate the pricing with the buyers at a profit (practice marketing skills, customers relations, handling customer complaints ...)
6. Consolidate on the activities of selling and emphasize to the learners that this activity is ongoing. (teacher is expected to be creative and resourceful)

OR

1. Ask the learners to come with empty bottles of water or any empty containers
2. Arrange learners in such a way that some will be wholesalers, retailers and consumers using a pop up shop.
3. Arrange for the real or mock drinks to be sold at wholesale price(in cases)
4. Let wholesalers sale the cases to the retailers and also retailers(individual bottles) to consumers
5. Consolidate on the activities of buying and selling.

Or

- ☐ Choose a suitable learner centred methodology (for example Class discussion, role play, case study)
- ☐ Select the learning environment in relation to the teaching methodology – (Natural environment (outside), Artificial environment (classroom), Virtual environment (technological))



Content Tips

- ☐ Stay organised: ensure that you accomplish your tasks and meet set deadlines.
- ☐ Be proactive: anticipate challenges and opportunities and take proactive Task to address them.
- ☐ Continuously learn: be up to date with trends in the industry trends, best practices and new technology to stay competitive
- ☐ Create a mock store or simulated wholesale trading in the classroom where learners can practise buying and selling in bulk, negotiating prices and terms ...
- ☐ Learners to practice wholesale skills such as pricing, stock management and customer service in a controlled environment
- ☐ Encourage students to develop their own entrepreneurial projects such as selling hand made products, scones, flitters ... in dozens
- ☐ Learners to practice wholesale skills such as marketing, pricing and sales whilst running their own businesses
- ☐ Conduct role-playing exercises in the classroom where learners can practice different wholesale scenarios such as negotiating with suppliers or retailers, managing relationships with distributors or retailers, handling logistics and transportation issues, customer service interaction, sales pitches, handling customers complaints and stock management
- ☐ Arrange intern or job shadow with the local wholesaler
- ☐ Organise for a school market day where students can set up their shops to sell their own goods in bulk in the real environment
- ☐ Assign case studies or projects that require learners to analyse and develop wholesale trading strategies for a real or hypothetical business where learners can practice critical thinking, problem solving and decision making skills in wholesale trade context
- ☐ Utilise online games that mimic wholesale trading environments such as virtual trading platforms, wholesale market simulations and supply chain management games.

Expected standard: Running a wholesale business practised successfully



Assessments

Class exercise

Mugubudu Wholesale Store buys boxes of pens and cases of sugar from a manufac-

turer and sells them to retailers in that area.

1. What roles does the store play in the chain of distribution?
2. What are the benefits of the store buying pens directly from the manufacturer?
3. Describe how the retailers would be affected if Mugubudu Wholesale Store stopped its operations?

a) Home work

Investigate opportunities and challenges of running a wholesale business

b) Assignment

Research on how to run a wholesale business successfully.



Summary

Wholesale trade covered Describing wholesale trade, Demonstrating functions of a wholesaler, Investigating opportunities and challenges of running a wholesale business and Practising running a wholesale business.

SUB TOPIC 3: DOCUMENTS USED IN HOME TRADE

Introduction

In any business transaction there are two parties involved, the buyer and the seller. Between the two parties there is a lot of communication, written and unwritten. Therefore, in home trade we need to have written documentation and these documents are evidences of what transpired in the business transaction. Understanding these documents is crucial to ensure smooth and successful transactions. Documents used in home trade are important because they provide a paper trail, protecting the rights and interest of buyers and sellers. They ensure that all parties have same access to the same information, reducing misunderstandings and disputes. The documents also help to ensure that the transaction complies with relevant laws and regulations.

Specific competences: Prepare documents used in home trade



Key Terms

- ☐ **Trade** – Buying and selling of goods and services often with a goal of earning a profit.
- ☐ **Home Trade** – Buying and selling of goods and services within the country
- ☐ **Business Transaction** – A financial transaction between two or more parties that involve the exchange of goods, money, or services
- ☐ **Business Document** – A written record that provides evidence of a business transaction
- ☐ **Buyer** - The one in need of the goods and services in the process of buying and selling
- ☐ **Seller** – The supplier of goods and services
- ☐ **Trade Discount** – A reduction in price of the product from the catalogue price given to the buyer.
- ☐ **Cash Discount** – A reduction in price from the invoice price given to a customer.

**Learning Activities**

- ☐ Describing documents used in home trade
- ☐ Applying the terms and conditions of sale and payment (trade and cash discounts)
- ☐ Preparing documents used in home trade.

**Learning Activity 1**

Describing documents used in home trade.

**Learning Activity 2**

Preparing documents used in home trade.

**Note**

Combine the two learning activities, describing and preparing documents used in home trade because these two activities are closely related and could be effectively covered together in a single activity to create a more comprehensive and practical learning experience. This will enable learners to both understand the different types of documents used in home trade and also learn how to prepare them.

**Learning Activity 3**

Describing documents used in home trade

Methodology –

**Class discussion and case study****Task: 1**

1. Start by discussing learner's everyday experiences with trade documents they have seen at stores (receipt, cash sales slips)
2. Facilitate the discussion by asking prompt questions that will lead to the purpose and importance of different business documents used in home trade

Task: 2

3. Let the learners read a case study below;

Case Study

Mr. Widson, the owner of Kasaropi ventures general limited calls Mr. Emmanuel, the owner of Gatoma investments limited based in Chipata asking about the motor bikes and spare parts in stock so that he orders for his shops in the northern region of the country. Mr. Emmanuel sends information about the goods in stock leading to Mr. Widson showing willingness to buy. Mr Emmanuel indicates that the goods can be sent using his truck or a hired truck. In a week's time a truck carrying the motor

bikes and spare parts delivers at Mr. Widson's shops to his satisfaction though he was undercharged and some spare parts got damaged on the way.

Ask learners to identify the documents and their purpose;

Question: 1

- i. For asking about the motor bikes and spare parts in stock
- ii. For replying to the request about the motor bikes and spare parts in stock
 - ☐ Learners to fill out and interpret the trade documents used in the case study and others that are important in home trade
 - ☐ Consolidate the lesson with content tips

Question: 2

- i. For indicating willingness to buy
- ii. For delivering the motor bikes and spare parts at the shops
 - ☐ Learners to fill out and interpret the trade documents used in the case study and others that are important in home trade
 - ☐ Consolidate the lesson with content tips

Question: 3

- i. For reducing the prices because of the damaged spare parts
- ii. For increasing the amount owing to being over supplied
- iii. For demanding for payment
 - ☐ Learners to fill out and interpret the trade documents used in the case study and others that are important in home trade
 - ☐ Consolidate the lesson with content tips

Question: 4

- i. Means of payment
- ii. For proof of payment
 - ☐ Learners to fill out and interpret the trade documents used in the case study and others that are important in home trade
 - ☐ Consolidate the lesson with content tips

Question: 5

- i. For showing transactions between the buyer and supplier over a period of time
 - ☐ Learners to fill out and interpret the trade documents used in the case study and others that are important in home trade
 - ☐ Consolidate the lesson with content tips
- OR
- ☐ Choose a suitable learner centred methodology for example (Case study, role play, group work)
 - ☐ Select the learning environment in relation to the teaching methodology
 - ☐ (Natural environment (outside), Artificial environment (classroom), Virtual environment (technological))

**ENQUIRY NOTE**

- An enquiry is a request for information sent by the potential buyer/customer to the seller/supplier to find out on the availability of goods and services.
- An enquiry may either be written or through verbal communication which sometimes may not be taken seriously by some organisations.
- The potential buyer may want to know the following, the description of goods, type and prices of goods, payment methods, delivery services, return policy and many more.

ENQUIRY NOTE

FOXDALE SECONDARY SCHOOL
P.O BOX 23245
LUSAKA

DATE

TO Steph General Dealers
Choma.

Dear Sir/madam

Please quote your best terms for the supply of the following:

1	50 single seater Desks
2	25 Double seater Desks
3	30 White Boards

Yours faithfully

Mukuka Nyambe Banda
Purchasing Manager

THE QUOTATION

- It is a reply to an enquiry to supply goods or services at a specified price.
- It is sent by the supplier to the would-be buyer.
- It contains the following: detailed description of goods requested for, the price at which goods are offered, the terms and conditions of sale, payment and delivery

dates

QUOTATION

STEPH GENERAL DEALERS

CHOMA BRANCH

LIVINGSTONE ROAD

QUOTATION NO.. 404056

TO. FOXDALE SECONDARY SCHOOL

P.O BOX 23245

LUSAKA.

In reply to your enquiry dated

We have pleasure in quoting the following:

Code No. Quantity		Description	Unit Price	Price
65231	50	Single seater Desks	K2 000.00	K100 000.00
62351	10	Double Seater Desks	K5 000.00	K50 000.00
63231	30	White Boards	K2 000.00	K60 000.00

Prices valid for 20 days

Free delivery for Orders over K20 000.00

Delivery within 2 weeks of receipt of order

Cash discount 5% if paid within 28days of invoicing

All the prices are subject to 10%Trade discount

Signature.

A quotation can come in the following ways:

1. Price list

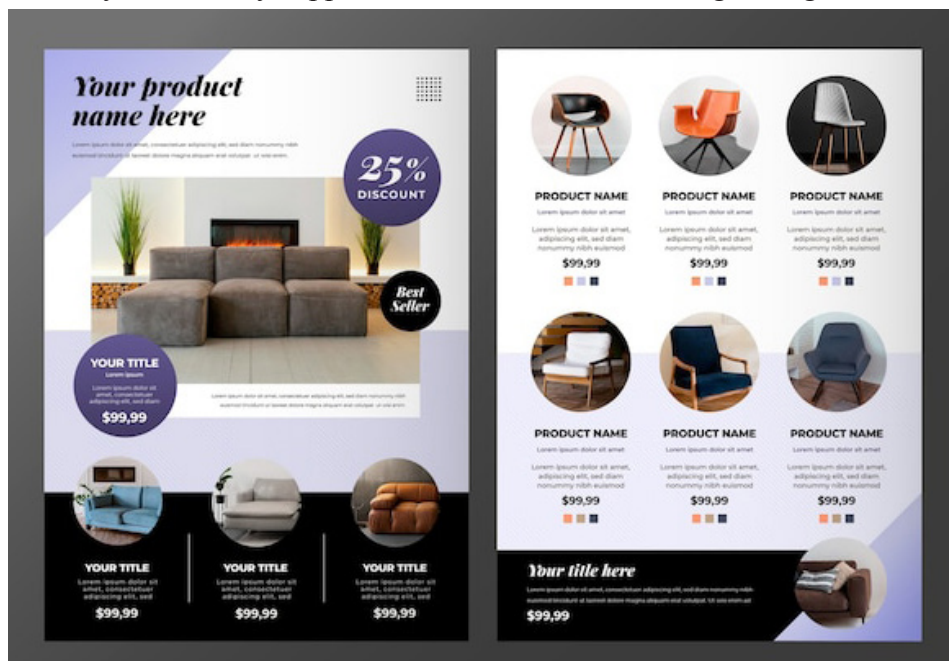
- A price list is a document that outlines the prices of a company's products or services.
- It gives the current prices of goods and services on sale.
- The price list contains a list of supplier's products, their prices, description and sizes, as well as terms of trade.

PRICE LIST

PRICE LIST STEPH GENERAL DEALERS, P. O. BOX ... , CHOMA.		
Ref No.	Description	Price
CO 13	Stools	500.00 each
D130	Single seater Desk	2000.00 each
D133	Double Seater Desk	5000.00 each
D15	White Board	2000.00 each
P330	Table	1500.00 each
Terms: 1. Trade discount of 5% on orders above K30 000.00 2. Cash discount 10% 14 days, 5% 21 days, 30 days Net 3. Prices do not include delivery 4. This offer is valid untill August 31		

2. A Catalogue

- A Catalogue is usually in form of a book, magazine, pamphlet or online content containing details and pictures of items currently being offered for sale.
- It is a comprehensive document that provides detailed description, prices and specifications of the products or services.
- The main purpose of a catalogue in business is to attract customers in buying goods by use of colorful pictures.
- They are used by suppliers as a means of advertising their goods.



3. A Tender

- A tender is a formal request for offers to supply goods, services or works at a specified price and within a defined timeframe.
- It can also be referred to as a formal proposal or bid that a company submits in response to a request for tenders.
- Tenders are usually published on Television, Radio, Newspapers, Online platform etc.
- They are usually used by big companies who would want work to be done by other companies rather than their own workers.

4. An Estimate

- An Estimate is a detailed document provided by a contractor or service provider that outlines the expected costs for a specific project or job.
- The estimates serve as a detailed quote for the work to be done, materials to use, labor and other expenses.

AN ORDER

- An order is a request to the supplier to supply goods quoted. In other words, it can be referred to as an instruction given by the buyer to the supplier to supply goods.
- Orders may be written (Order Form or Ordinary Letter) or placed verbally on the phone though verbal orders may be followed up by writing to avoid miscommunication.
- An Order contains the following, description of goods required, price as per quotation, quantity of goods, delivery date, terms and conditions of sale....

An Order

ORDER FORM			
		Foxdale Secondary School Lusaka Date: 28/04/25	
		Order no. 55	
To: STEPH GENERAL DEALERS			
Box			
Choma.			
Please supply the following:			
QUANTITY	DESCRIPTION	Unit Price	Total
50	Single seater Desks	K2 000.00	K100 000.00
10	Double Seater Desks	K5 000.00	K50 000.00
30	White Boards	K2 000.00	K60 000.00
Total			210,000.00
Delivery instruction to be collected by our own transport			
Mukuka Nyambe Banda Purchasing manager			

PROFORMA INVOICE

- A proforma invoice is a preliminary bill that a business sends to a customer before a sale is done.
- It is a way to confirm details and costs of products or services before the transaction takes place.
- It has the same details as those on a proper invoice such as description of goods, quantity, unit price and total price.
- The only difference between a proforma invoice and an invoice is that a proforma invoice has words PROFORMA written on it.

AN INVOICE

- An Invoice is a document sent by the seller to the buyer requesting for payments for goods or services provided. It reminds the customer that payment is due.
- This document is simply a bill.
- An Invoice can also be used as proof that the transaction between the buyer and the seller has taken place and it is a document which can be used in a court of law as a witness that there was a transaction between a seller and a buyer.
- It is a document that is also used to start the accounting process.
- An invoice shows detailed information such as description of goods, quantity supplied, unit and total prices of goods, terms of sales, Value Added Tax (VAT), EO&E which stands for Errors and Omissions Expected meaning the seller is ready to correct any mistake that may appear on the invoice.

INVOICE			
STEPH GENERAL DEALERS, P o Box .. Choma. 8th May, 2025			
FOXDALE SECONDARY SCHOOL P O Box Lusaka.			
ORDER NO. 221			
QUANTITY	DESCRIPTION	UNIT PRICE(K)	TOTAL (K)
50	Single seater Desks	K2 000.00	K100 000.00
10	Double Seater Desks	K5 000.00	K50 000.00
30	White Boards	K2 000.00	K60 000.00
			210 000.00
Less 20% Trade Discount			42 000.00
			168 000.00
Terms: 2% one month, 1% two months, net three months,			
E &O E			

Explanation of the terms:

- 2% one month means that 2% cash discount will be allowed if payment is made within one month
- 1% two months means that 1% cash discount will be allowed if payment is made within two months
- Net means that no cash discount will be allowed/full amount owing to be paid
- E&OE means Errors and omissions Excepted

An Advice Note

- Is sent to inform the buyer that the order has been received and the goods have been dispatched.
- Allows the buyer to prepare for receiving the goods
- It is usually sent ahead of the goods
- Specifies the method of transport used, and the date of delivery
- It usually shows the goods on the invoice

ADVICE NOTE	
STEPH GENERAL DEALERS	
CHOMA	
To: Foxdale Secondary School P. O. Box Lusaka.	
Date Despatched: 25/05/2025.	
Order No. 5312	
Dated: 23/05/2025	
<u>This serves to inform you that your order No. 5312 dated 8th May 2025 is ready for dispatch.</u>	
Quantity	Description
50	Single seater Desks
10	Double Seater Desks
30	White Boards
Please note that the goods can only be collected between 08 00 hours to 16 30 hours, Monday to Friday Signature:	

Delivery Note

- Used when transporting goods to the buyer if the seller uses his or her own transport.
- It is sent by the seller to inform the buyer of delivery of goods.
- It gives a detailed description of the goods including the quantity, type of goods and the condition in which goods have been received.
- It helps the buyer to thoroughly check goods on their arrival.

DELIVERY NOTE	
STEPH GENERAL DEALERS CHOMA.	
No. 1278	Date: 28/05/2025
Delivered to: Foxdale Secondary School P. O. Box Lusaka.	
QUANTITY	DESCRIPTION
50	Single seater Desks
10	Double Seater Desks
30	White Boards
Remarks: The goods were received in good condition	
Received by : Mapalo Mugwadi Stores Officer	
Signature: M. Mugwadi	

A Consignment Note

- This is the document used when the seller is transporting goods using hired transport. It is a document that shows the details of goods that have been sent from the seller to the buyer.
- It is used in business to record the details of goods being transported from one party to another.
- It serves as proof of delivery of goods and it provides trail for record keeping and dispute resolution purposes.

CONSIGNMENT NOTE	
STEPH GENERAL DEALERS CHOMA	
Delivery Note No. 1278	
Date: 28/05/2025	
Delivered to: Foxdale Secondary School P. O. Box Lusaka.	
QUANTITY	DESCRIPTION
50	Single seater Desks
10	Double Seater Desks
30	White Boards
Prepared by : Mukinke Chanda Moonga Despatch Officer	
Signature: M.M Chanda	

Goods Received Note

- A goods received note is a document that acknowledges or confirms the delivery of goods to a customer by the supplier.
- It consists of a record of goods that the buyer has received. It helps the customer to compare the goods delivered against the goods ordered.

GOODS RECEIVED NOTE	
Foxdale Secondary School P. O. Box .. Lusaka.	
No. 1278	Date: 25/09/2023
Supplier: STEPH GENERAL DEALERS CHOMA	
QUANTITY	DESCRIPTION
50	Single seater Desks
10	Double Seater Desks
30	White Boards
Remarks: The goods were received in good condition Received by : Mahongo Mulamata Signature: M. M Stores Officer	

DEBIT NOTE

- A debit note is written by the seller to the buyer if he has been undercharged.
- It is sent to the buyer to notify them of the current debt obligation.
- A debit note can be sent to the buyer in the following situations;
 - ✓ If some items delivered were omitted on an invoice
 - ✓ If the buyer made an incorrect payment such as underpaying
 - ✓ If there are price discrepancies between the agreed upon price and the actual price
 - ✓ Arithmetical errors

DEBIT NOTE

STEPH GENERAL DEALERS

P. O. Box

CHOMA

Date: 30/05/2025

Foxdale Secondary school

Lusaka

No. 1287

Quantity	Description	Unit Price (K)	Total Price (K)
2	Single seater Desks	2 000.00	4 000.00
Less 10% trade discount (10/100 X 4 000)			400.00
	Total Amount		3, 600.00

Reasons: Have lose screws

E&OE

CREDIT NOTE

- A credit note is a document sent to the buyer to correct a mistake on an invoice or to refund an amount paid for.
- It acts as a notification that a customer doesn't have to pay the total amount of an initial invoice.
- It is sent to a customer who has been overcharged. It is also sent to correct an invoice, refund a customer, or adjust the amount a customer is owing.
- It is issued when the seller owes the buyer money.
- A credit note is usually printed in red to distinguish it from a debit note and to show that money is going out of the business.
- A credit note can be sent to the buyer in the following situations:
 - ✓ when the buyer returns goods or request for a refund
 - ✓ some items delivered are damaged or not ordered
 - ✓ when the buyer overpays an invoice

CREDIT NOTE

Steph General Dealers

Choma

No. 1287

Date: 30/05/2025

Foxdale Secondary School

P. O. Box

Lusaka.

Quantity	Description	Unit Price (K)	Total Price (K)
1	Double seater Desk	2 000.00	2 000.00
Less 10% trade discount (10/100 X 2 000)			200.00

	Total Amount	1 800.00
Reasons: Wrongly supplied		
E&OE		

Cash sales slip

- It is a document used in business to record the sale of goods or services for cash. It is also known as a cash sales receipt.
- A cash sale slip can also be referred to a document that records a cash transaction between a business and a customer.
- It records the sale, the amount paid and the method of payment.
- Cash slips are obtained from computerised cash tills.
- This document may not be preferred as a means of payment in business.

STEPUP SUPERMARKET	
KABWE.	
CELL NO.	
TPIN NO. 123456	VAT NO. 5344
2 family Bread	K50.00
1 litre Milk	K25.00
3 x 500 ml fruiticana	K36.00
Total Amount	K111.00
Cash	K200.00
Change	K89.00
Date: 08/05/2025	Time : 15 04 hours

Receipt

- A receipt is a document that serves as proof of payment for a transaction between a business and customer.
- It is a record of the transaction showing the details of the purchase, the amount paid and the payment method used.
- It also shows the date the payment is made

RECEIPT

Steph General Dealers
Choma.

Date : 29/05/2025

Received with thanks from Funda Primary school

Sum of Kwacha two thousand three hundred twenty five only K2 325.00

Being payment for : Assorted Office Furniture

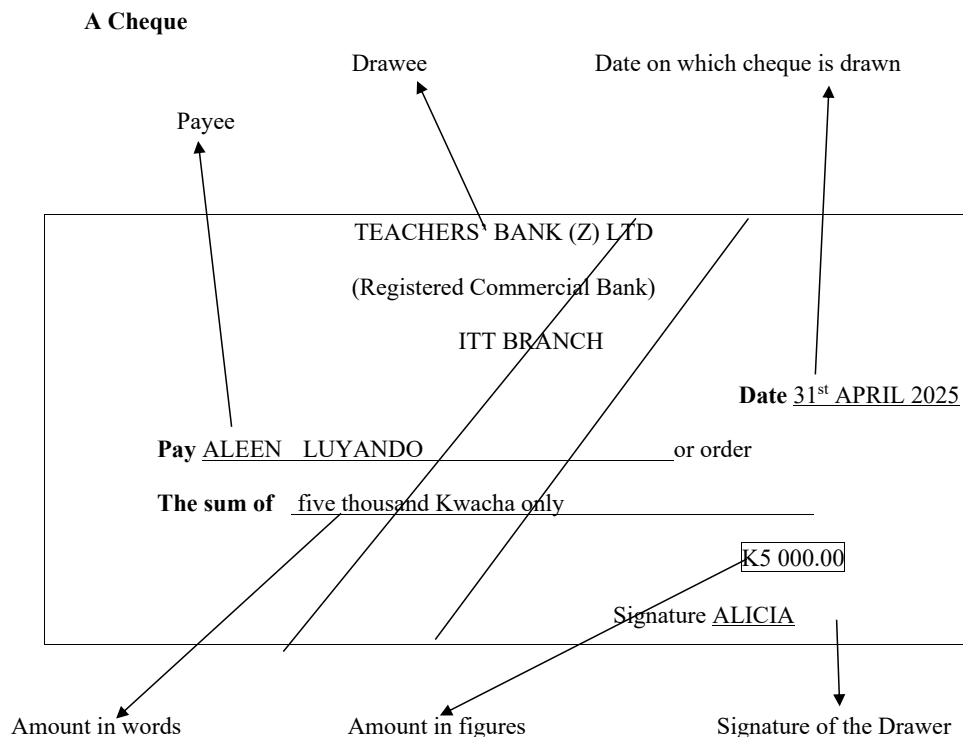
Received by: Best Mamba

Signature: B. Mamba

Cheque

- A cheque is a document that orders the bank to pay the amount specified to the recipient's account.
- The person who writes and signs the cheque is called the drawer and the person who receives the cheque/money is called a payee.
- Take note that a cheque is not a legal tender, it can be accepted or rejected because it is just a promise, therefore when a cheque is made as a means of payment the buyer receives a receipt from the seller.
- A cheque book has two parts, the cheque counter foil and a cheque, the same details that filled on the cheque are filled on a counter foil. The cheque counterfoil remains with the cheque book for future reference. A cheque is sent by the buyer to the seller for payment of goods.

A Cheque



STATEMENT OF ACCOUNT

- A Statement of Account is a financial document that summarises transactions between a customer and supplier over a period of time.
- It provides customers with an overview of their purchase and what they are owing. The purpose of a statement is to:
 - ✓ remind customers of outstanding payment
 - ✓ provide transparency into transaction history
 - ✓ help customers reconcile their own financial records
 - ✓ facilitate communication between the customer and the supplier.

STATEMENT OF ACCOUNT				
From: STEPH GENERAL DEALERS				
CHOMA.				
				Date: 31 ST MAY 2025
To: FOXDALE SECONDARY SCHOOL				
LUSAKA.				
Date	Details	Debit	Credit	Balance
22/05/25	Balance b/f			25 000.00
25/05/25	Chairs	7 000.00		32 000.00
28/05/25	Cheque		17 000.00	15 000.00
29/05/25	Debit Note no:12	2 000.00		17 000.00
30/05/25	Packets of sugar	3000.00		20 000.00

**Learning Activity 3**

Applying the terms and conditions of sale and payments (Trade discount and Cash discount)

Methodology:

**Role play, Class Discussion**

Task:

1. Assign a group of learners to demonstrate how buying and selling is done either at the market or at any trading area.
2. Let others be buyers and others sellers.
3. Let the learners do the role play while others observe in the artificial environment (classroom) or any applicable environment
4. Ask learners to describe or say what they observed in the role play.

5. Facilitate the discussion by asking prompt questions which will lead to what the lesson is all about (trade and cash discount)
6. Write their responses on the board
7. Work out an example on how to calculate trade and cash discounts
8. Consolidate the lesson as per content tips.
9. Give learners exercises on how to calculate trade and cash discounts

**Content Tips**

- ☐ Trade discount is a reduction in the price of goods and services for bulk purchases.
- ☐ It is a reduction in the list price of a product or service that a seller offers a buyer.
- ☐ It is usually given at the time of purchase. Trade discount is given to encourage customers to continue buying in bulk and enable them make profits.

Example: Mr Kantu has been in business for five years. He is a wholesaler who deals in men's clothes. On the 3rd of October 2024, he supplied 200 golf t-shirts to Mrs Mandi a retailer at a cost price of K 80 per t-shirt. Mrs Mandi was allowed a 10% trade discount. Calculate

- i. The discount received by Mrs Mandi
- ii. How much Mrs Mandi will be required to pay for the goods?

SOLUTION:**Step 1**

Calculate the total amount Mrs Mandi should pay before a discount.

$$\begin{aligned}\text{Total amount paid} &= \text{Number of t-shirts} \times \text{the price per t-shirt} \\ &= 200 \times \text{K}80 \\ &= \text{K}16,000\end{aligned}$$

Step 2

Applying the Trade Discount

The wholesaler offered a 10% trade discount therefore;

$$\begin{aligned}\text{Trade Discount} &= \text{Total Cost Price} \times \text{Trade Discount Rate} \\ &= \text{K}16,000 \times 10\% \\ &= \text{K}1,600 \quad \text{Discount received by the retailer}\end{aligned}$$

Step 3

Calculate how much the retailer will pay after a trade discount

$$\begin{aligned}\text{Net Price} &= \text{Total Cost Price} - \text{Trade Discount} \\ &= \text{K}16,000 - \text{K}1,600 \\ &= \text{K}14,400\end{aligned}$$

- A cash discount is a reduction in the amount due on an invoice or payment.
- It is a reduction in price when there is prompt payment (quick payment).
- It is offered by the seller to the buyer for paying the invoice promptly.
- Cash discount is given to encourage timely payments, reducing the amounts of out-

standing accounts receivables (amount owing) and to build customer relationship.

- Kando limited received an invoice from a supplier for K 28,500. The terms of payment offered were a 5% cash discount if she paid within 20days and 10% cash discount if she paid within 15 days. How much will Kando pay if she paid within 15 days

SOLUTION

Step 1

Calculate cash discount

Cash Discount = Invoice amount x Discount rate

$$= \text{K}28,500 \times 10\%$$

$$= \text{K}2,850$$

Step 2

Subtract the cash discount from the invoice amount.

Amount to be paid = Invoice amount – Cash discount

$$= \text{K}28,500 - \text{K} 2,850$$

$$= \text{K}25,650$$

Kando Ltd will pay **K25,650**.

Trade and Cash Discount (Consolidated)

Example:

Ms Nachizya is a wholesaler who deals in men's clothes. On the 3rd of May 2025, She supplied 200 golf t-shirts to Mrs Kayanda a retailer at a cost price of K 80 per t-shirt. Mrs Kayanda was allowed a 10% trade discount and a further 5% cash Discount for prompt payment. Calculate

- I. The Trade discount received by Mrs Kayanda
- II. The Cash discount received by Mrs Kayanda
- III. How much Mrs Kayanda will be required to pay for the goods?

SOLUTION:

200 x K80 =	K16,000
less 10% TD (10/100 * K16,000)=	<u>K 1,600</u>
	K14,400
Less 5% CD (5/100* K14,400) =	<u>K 720</u>
Amount due =	<u>K 13,680</u>



Assessment

Class Exercise

1. Stephen wants to buy a laptop from Leah. Advise how he can obtain information?
2. Mr Kipyango a wholesaler sold a number of electrical appliances to a supermarket in

Lusaka. Explain the importance of the following documents in the given transaction.

- a. Invoice
 - b. Debit note
 - c. Statement of account
 - d. Advice note
3. Ms Lwito sold the following goods on credit to Mr Obby
- 10cases of milk at K150 per case
 - 15 bags of rice at K10,000
 - 2 cases of sugar at K520 per case
- Mr Obby is allowed a 15% Trade discount and 5% cash discount if he paid within 20 days
- i. How much would he pay if he settled his bill within 15 days? (advised to show your working)
 - ii. How much will he pay if he decided to settle his bill on the 25th of the same month?
4. Use the information in question three (3) to prepare the following documents
- i. An order
 - ii. An Invoice
 - iii. Delivery note



Summary

The topic highlighted on the following documents used in home trade

- Inquiry
- Quotation
- Tender
- Price list
- Order form
- Invoice
- Delivery note
- Consignment note
- Debit note
- Credit note
- Advice note
- Cheque
- Receipt
- Statement of accounts

BIBLIOGRAPHY

Corrad, H. L., and Oliphant, L., (1973), Elements of Commerce, Part 1, 11th Edn. London: Cassel & Co. Ltd

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Hakan Jarskog, Douglas Stevenson (2006), ILO SYB Manual, Second Impression, Longman, Zimbabwe (Pvt) Ltd

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Ronald, J. Ebert, and Ricky, W. Griffin (2017), Business Essentials, 11th Edn. Pearson Education Ltd

Wokorachi, J.B. (1997), Commerce: A Complete Course

SAMPLE LESSON PLAN

NAME OF TEACHER:

DATE: 13/ 05/ 2025

CLASS: Form 1 B

DURATION: 80 Minutes

TIME: 08:20-09:40

NO. OF PUPILS: Boys: 23 Girls:27

SUBJECT: COMMERCE

Total 50

TOPIC: Home Trade

SUB-TOPIC: Retail Trade

GENERAL COMPETENCES: Creativity, critical thinking, collaboration, communication

SPECIFIC COMPETENCES: Practice running a Retail Business (*as it is in the syllabus*)

LEARNING ACTIVITY: Describing Retail trade

METHODOLOGY: Group discussion

RATIONALE: to understand the role and importance of retail trade in the local community

PRIOR KNOWLEDGE: Learners have been involved in buying and selling of different items both at home and school.

REFERENCES:

- 2024 Commerce and Principles of Accounts Secondary Education Ordinary Level Syllabus-Form 1-4 page....
- 2025 Commerce Form 1 Teaching Module Term 2 page....
- Commerce a complete course Wokorach

LEARNING ENVIRONMENT
Artificial environment: (class room)

TEACHING AND LEARNING MATERIALS/RESOURCES: jiggies, sweets, chart, Books, Pens

EXPECTED STANDARD: Running a retail business practiced successfully (syllabus)

LESSON PROGRESSION:

STAGES	TEACHER'S ROLE	LEARNERS' ROLE	ASSESSMENT CRITERIA
INTRODUCTION 5 Minutes	■ Facilitate the discussion and ask learners to describe how they buy goods and services	■ Brainstorming and describing how they buy goods and services	Assess learners' engagement and participation
LESSON DEVELOPMENT 15 Minutes	■ Put learners in appropriate groups to enable everyone participate	■ discuss the various items they buy from the local community shops (tuckshop, tunkemba, butchery, supermarket) and in what quantities.	Observe learner engagement and participation

15 Minutes	■ facilitate the presentations from different groups ■ take points from the presentation	■ groups present their discussions	Assess learners' ability to participate and present what they discussed ■ items bought from local communities- tuntemba, tuckshop, supermarket, butchery ■ quantities bought
15 Minutes	Consolidate by summarizing and relate the discussion to the content tips as follows: Home trade simply means the trade that happens within the country ■ Trade is the process of buying and selling of goods and services with the aim of making a profit ■ Retail trade is the selling of goods in small quantities to the consumers ■ A retailer sells goods in smaller quantities ■ Retail is the final step in the distribution of goods where retailers sale goods directly to their consumers in smaller quantities	■ Take notes ■ Participate by asking and responding to questions	■ Self-reflection ■ Self/ peer assessment ■ Participate by asking and responding to questions
EXERCISE / APPLICATION 20 Minutes	■ Ask learners to describe the following: 1. Home Trade 2. Retail trade 3. Trade 4. retailer	Copy and complete the given task	■ Receive feedback. ■ Assessing the learners' ability of understanding home trade, retail trade, trade.

CONCLUSION 10 Minutes	Review key concepts: ■ Retail trade is the selling of goods in small quantities to the consumers ■ A retailer sells goods in smaller quantities	■ Engage in bringing out what they learnt on retail trade	■ Evaluate learners' understanding of the concepts on retail trade
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HOMEWORK

- Ask learners to visit a local shop or website and observe the business model so as to prepare a brief report.

LESSON EVALUATION:

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SAMPLE LESSON PLAN TEMPLATE

NAME OF TEACHER:

DATE:

CLASS:

DURATION: Minutes

TIME:

NO. OF PUPILS: Boys:Girls:

SUBJECT:

Total:

TOPIC:

SUB-TOPIC:

GENERAL COMPETENCES:

SPECIFIC COMPETENCES:

LEARNING ACTIVITY:

METHODOLOGY:

RATIONALE:

PRIOR KNOWLEDGE:

REFERENCES:

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LEARNING ENVIRONMENT:

TEACHING AND LEARNING MATERIALS/RESOURCES:

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EXPECTED STANDARD:

LESSON PROGRESSION:

STAGES	TEACHER'S ROLE	LEARNERS' ROLE	ASSESSMENT CRITERIA
INTRODUCTION			
LESSON DEVELOPMENT			
EXERCISE / APPLICATION			

CONCLUSION

HOMEWORK

LESSON EVALUATION:

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